background recognised by two previous governments, the NDA government also proposed to go ahead with this.'

Finance Minister Sinha refuted the erstwhile Janata Party argument that 'the availability of high denomination banknotes facilitates the illicit transfer of money for financing transactions which are harmful to the national economy or which are for illegal purposes.' He said he was 'sure that the honourable members of this august House will share my view that *the root cause for illegal transaction lies not in notes of high denomination but elsewhere*.' Sinha also stated that during the decision-making process, the government was aware 'that the ISI is printing counterfeit notes and that fake notes are being circulated in this country.' He declared that 'a number of steps through the Ministry of Home Affairs and through the intelligence agencies' had been taken and added that there would be no let-up in initiating 'strongest possible action against any foreign agency which tries to disrupt our system by bringing into this country currency notes which are fake or counterfeit.'

2014–15: Demonetization of pre-2005 High Denomination Notes

In January 2014, the Reserve Bank announced that after 31 March 2014, it would completely withdraw from circulation all ₹100, ₹500 and ₹1,000 notes issued prior to 2005, as they had fewer security features compared with banknotes printed after 2005. The notes could be exchanged for their full value and the RBI clarified that all pre-2005 notes continued to remain legal tender.

The Reserve Bank advised the public that they could easily identify the notes to be withdrawn, as the notes issued before 2005 did not have the year of printing on their reverse side (in notes issued post 2005, the year of printing is visible at the bottom on the reverse).

The process of removing the older notes from circulation continued for nearly two years with the deadline for exchanging the notes finally being extended till December 2015. Over 164 crore pre-2005 currency